

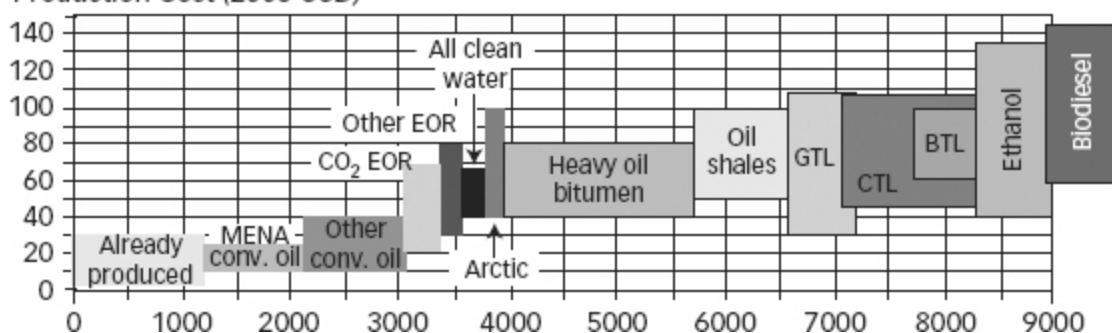
Oil prices can move dramatically. But oil supplies are sluggish. It takes a long time to produce an extra barrel of oil and bring it to market. It also takes a lot of capital. And faith.

What you also see is that oil prices are much higher than industry experts expected. In oil, as in everything else, nobody knows anything. As you will see in [Figure 5.1](#), there are vast supplies of oil that are profitable at \$100 per barrel. But \$100 per barrel is far more than the experts forecast.

Figure 5.1 Available Oil in Billion Barrels

Source: Sprott Asset Management

Production Cost (2008 USD)



So they didn't make investments for a \$100-per-barrel world—they made investments for a \$30-per-barrel world. Consequently, the supply of oil has gone up only modestly. Even with such high prices, output from the major oil companies has gone down. The big firms have been unable to increase production from their mature fields and have no new production ready to come online.

You've heard of "peak oil"? It is the hypothesis that there's only so much oil available and that at a certain point we will begin pumping less and less of it out of the earth. Whether that is true or not, we don't know. But it is definitely getting harder and harder—and *more expensive*—to expand oil production.

From the Sprott Asset Management report, "Oil or Not, Here They Come" by Kevin Bambrough:

The EIA study revealed that the largest 1% of oilfields (798 total fields) account for over 50% of global production. Remarkably, in this group, there are 20 super giant fields that account for roughly 25% of global production. All of these super giant fields were discovered decades ago.